

Tempus AI, Inc.
TEM NASDAQ

Hold	\$60.27 ▼ 2.16%	12M Price Target \$68.00	52-Week Range \$41.73 – \$104.32	Market Cap \$10.82B
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TEM: CEO Selling Cools A Hot Precision Oncology Story

WHAT HAPPENED

- Stock is down 2% today after a big 19% pop earlier this week — classic profit-taking, but the real overhang is CEO Eric Lefkowsky dumping \$9.6M in shares last week. When the founder sells that much right after a rally, the market gets nervous about the "AI as physician" narrative he's been selling.
- Healthcare as a whole ripped +2.6% today, so TEM is actually LAGGING its sector — that's a yellow flag when a high-beta name can't keep up with a broad healthcare rally.

WHY IT MATTERS

Here's what's really going on: TEM just had a monster rally on rare cancer data (the "durable moat" story), but the CEO cashing out \$1.4M+ in shares right into that strength tells you insiders think the stock got ahead of itself short-term. That doesn't kill the long-term thesis — precision oncology is a real, growing market — but it caps near-term upside because every rally now gets met with "is Eric selling again?" The options flow is screaming bullish (call/put ratio of 0.25 means traders are betting 4-to-1 on upside), so retail and momentum money is fighting the insider selling. That tug-of-war usually resolves with a pullback before the next leg up, which is why I'd wait for \$52-56 rather than chase.

POLICY & POLITICAL WATCH

The big political tailwind for TEM is the ongoing federal push on AI in healthcare — the FDA has been steadily approving more AI-driven diagnostic tools, and Medicare reimbursement codes for AI-assisted pathology and genomic testing keep expanding (that's literally how TEM gets paid). Watch for any movement on the bipartisan "Health Tech Investment Act" chatter that would formalize Medicare payment pathways for AI diagnostics — if that gets real traction, it's a direct revenue unlock. The risk on the other side: any Trump administration cost-cutting at CMS or NIH could slow the grant money flowing to academic medical centers, which are TEM's biggest data-sharing partners.

IS IT EXPENSIVE?

At \$10.8B market cap on ~\$1.4B in 2026 revenue, you're paying about \$8 for every \$1 of sales — that's rich for a company still losing money, but not insane for a 30%+ grower in a hot AI/healthcare category. The problem: there's no earnings to anchor to (they're burning cash), so the valuation is 100% a bet on the growth story continuing. If revenue growth slips below 25%, this multiple compresses fast — that's the fragility here.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$60.27
12M Price Target	\$68.00
Upside / (Downside)	+12.8%
Market Cap	\$10.82B
FY2026E Revenue	\$1,385M
FY2027E Revenue	\$1,720M
FY2026E EPS	(\$1.15)
FY2027E EPS	(\$0.55)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$68.00	\$60.00	\$52.00
6 Months	\$80.00	\$65.00	\$45.00
1 Year	\$95.00	\$68.00	\$40.00
2 Years	\$130.00	\$85.00	\$35.00
5 Years	\$220.00	\$130.00	\$25.00
10 Years	\$400.00	\$180.00	\$20.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.6% today, +5.2% this week) — money is flooding back into the sector as investors bet the worst of drug pricing headlines is behind us and AI-in-healthcare narratives get louder. Utilities and Staples also up, which tells you there's some defensive rotation happening too.

COOLING OFF: Nothing catastrophic today, but tech didn't lead — that's notable because it suggests the "AI trade" is broadening OUT of pure tech into applied AI names like TEM.

ROTATION WATCH: Money is rotating from mega-cap tech into applied-AI verticals (healthcare AI, industrial AI). That's a direct tailwind for TEM's peer group, but the flows favor profitable AI-adjacent names first.

RELATED PLAY: If you like the precision oncology theme but want less volatility, look at Exact Sciences (EXAS) or Guardant Health (GH) — same tailwinds, more mature revenue base. Also watch CareDx (CDNA) after their Naveris acquisition — it's a signal that consolidation in specialty oncology diagnostics is heating up, and TEM could be either an acquirer or (less likely at this size) a target.

WHO'S WINNING IN THIS SPACE?

- EXAS (Exact Sciences): Winning on consistent Cologuard growth and expanding into multi-cancer screening — the "boring but profitable" version of the TEM story.
- GH (Guardant Health): Liquid biopsy leader benefiting from same reimbursement tailwinds; less AI hype, more revenue reality.

TEM CONTEXT: TEM is lagging its sector today despite healthcare's rally — that's a short-term negative signal. But TEM has more upside optionality than EXAS/GH because of the AI platform story. It's the higher-beta way to play the same theme — meaning bigger swings both directions.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the story but I don't love it here. The CEO selling into a rally is a real signal, and I want a better entry.

POSITION SIZE: 2-4% of portfolio — this is volatile enough that you can't size it big, but the AI-healthcare theme is real enough that zero exposure is a mistake.

ENTRY POINTS: \$52-56 range on any market-wide pullback. If it breaks below \$50, that's a gift — that's where ARK and Baillie Gifford (the two smartest long-term holders here) would likely add.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is Q2/Q3 2026 earnings showing revenue growth staying above 30% AND cash burn narrowing.

WHEN TO BAIL: Revenue growth drops below 25%, or they announce a secondary offering to raise cash, or Lefkofsky sells another \$10M+ tranche. Any of those three = out.

HEDGING: Simplest hedge — own a healthcare ETF (XLV) alongside it so if the whole sector rolls over, you're not fully exposed. If you want to get fancier, buy some \$50 strike puts as insurance for earnings season.